

CRISIL

RATING RATIONALE

Entity: Bharat Manufacturing Group Ltd

Rating: A+/Stable

Date: November 15, 2024

Instrument	Size (■ Cr)	Rating
Long-term Bank Facilities	480.00	A+/Stable
Short-term Bank Facilities	225.00	A1+/Stable

RATING DRIVERS

Key Strengths:

- Established market position with strong revenue growth trajectory
- Healthy EBITDA margins demonstrating operational efficiency
- Adequate debt coverage metrics with comfortable interest coverage
- Experienced management team with long track record

Key Weaknesses / Rating Sensitivities:

- Working capital intensive operations requiring continued bank support
- Concentration risk in domestic market
- Rating upgrade linked to sustained revenue above current levels with margin stability
- Rating downgrade may occur if D/E exceeds 1.5x or ICR falls below 3.0x

FINANCIAL SUMMARY

Parameter	FY2024	FY2023
Revenue (■ Cr)	1,850.00	1,620.00
EBITDA Margin (%)	24.2	23.1
PAT Margin (%)	11.7	10.7
Debt/Equity (x)	1.03	1.07
Interest Coverage (x)	5.31	4.88

Analyst: Rating Team, CRISIL

Disclaimer: This rating is not a recommendation to buy, sell or hold.